In The News: The Trade Policies of President Trump

Many economists are skeptical of the tariffs imposed by Donald Trump starting in 2018.

Why Trump's Protectionism Is Futile

By Tunku Varadarajan

President Trump may not be a friend of international trade, but he's a gift for a trade economist. Douglas Irwin has just hauled himself across the country from his perch at Dartmouth College to lecture on the president's trade policy. His talk is titled "Exercise in Futility.…"

The president is clobbering allies and adversaries alike with protectionist tariffs, and it seems everyone wants to hear from Mr. Irwin, 55, who last year published "Clashing Over Commerce," a history of U.S. trade policy. We're sitting in a little office in the shadow of Stanford's Hoover Tower, named for the president who signed the Smoot-Hawley Tariff in 1930, America's last exercise in unabashed protectionism.

Mr. Irwin is at pains to point out the differences between the two men. "Trump has escalated the rhetoric on trade to something we've never seen in previous presidents," he says. "Even Herbert Hoover never bad-mouthed other countries and said we're being manipulated and taken advantage of, and we're losing." Sure, Hoover would "always talk about the need to protect domestic industry from foreign competition—but in a very dispassionate, neutral way."

Mr. Trump may be the first openly protectionist president since Hoover, but what Mr. Irwin finds most frustrating about him is that "he never really defines what a 'better' trade deal is. His judgment of trade comes down to the trade balance, which he uses as a sort of ledger, as a businessman would, rather than think more broadly about the national economic impact of trade." It is impossible for every country to run a trade surplus, but "Trump thinks about trade in these zero-sum terms, about whether there are profits or losses, and he views exports as good and imports as bad."

That may be because Mr. Trump "comes from the casino industry, the real-estate industry, where you either get the project or not; you either win against the house or you lose against the house." He fails to see that in international trade, imbalances "aren't an indication that one country is beating another, or that one is 'winning' and the other's 'losing.'" Mr. Trump's rhetoric and vocabulary are "not the way economists think about trade at all.…"

Invoking the national-security provisions of the Trade Expansion Act of 1962, known as Section 232, Mr. Trump has just imposed steel tariffs on a range of countries, including many military allies. Mr. Irwin is aghast. “This is a huge and unwarranted slap,” he says, “sure to bring retaliatory blowback against American exporters. And thus a triple-harm: It hits U.S. steel-consuming industries and U.S. exporters, and hurts national security by alienating friends.”

Mr. Trump has also signaled that he will use Section 232 to impose tariffs on imported automobiles and auto parts. Under what earthly scenario are Japanese cars a threat to U.S. national security? Mr. Irwin treats the question as rhetorical and explains that the statute is “the easiest, least reviewable way in which a president can impose tariffs. Like steel, national security seems to be just a pretense for what is pure protection.”

There is no import surge putting America’s automobile industry at risk, Mr. Irwin says. To the contrary, “the domestic industry is at a high level of capacity utilization.” In 2017, 56% of American-bought light vehicles were domestically produced. The breakdown among imports: 22% from Canada and Mexico, 11% from Japan, and 8% from Germany and South Korea. That adds up to 97% of cars that were either made in America or “came from neighboring countries or those we have an alliance with—not enemies or sources of supply that might be threatened in an emergency.” If Defense Secretary Jim Mattis “did not think there was a national-security case for steel, it’s hard to think the defense establishment would believe there’s a national-security case for imposing tariffs on cars.”

Douglas Irwin

COURTESY OF DOUGLAS IRWIN

Steel is a leitmotif in President Trump’s narrative of trade-driven industrial decline. But the steel industry, Mr. Irwin says, isn’t “being decimated by import competition. Imports as a share of domestic consumption are pretty stable—we produce 73% of all the steel we consume. So it’s not as though we’re completely dependent and we’ve lost that industry.”

The U.S. has lost steel jobs, but Mr. Irwin says that’s because the domestic industry has become more productive. “In 1980, it used to take 10 worker-hours to produce a ton of steel.

Today, it takes less than two worker-hours. So even though we're producing the same amount of steel, or even more, we use many, many fewer workers to produce that steel."

That old newsreel image of workers mixing metals next to furnaces is far from today's reality, which consists of "one or two engineers who are adjusting dials in a highly mechanized place." Bringing back those blue-collar jobs "is just not in the cards," says Mr. Irwin, who attributes the president's insistence otherwise to nostalgia—"reflecting back on American greatness after World War II, and trying to recapture those days."

Questions to Discuss

1. Do you think tariffs should be used to protect domestic jobs? Why or why not?
2. How do you think it should be decided whether to impose tariffs to protect national security?

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